

MercadoLibre, Inc.

MELI | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$1,119.00
Current price (October 2, 2026 close)	\$1,696.56
Implied upside / downside	-34%
Verdict	REDUCE

Investment Thesis

Let us be explicit about what this call is and is not. The business thesis on MercadoLibre is intact: the company is the dominant e-commerce platform in Latin America, its Mercado Pago fintech ecosystem is one of the finest financial-inclusion stories in emerging markets, and its logistics network constitutes a deepening moat. Management execution has been excellent across cycles. Nothing in this report disputes any of that.

This is a cost-of-capital call, not a business call. MercadoLibre's cash flows are generated in Argentina, Brazil, Mexico, and other Latin American economies — economies with histories of currency devaluation, inflation spikes, capital controls, and political upheaval. A valuation that discounts those cash flows at something close to a US risk-free-plus-equity-premium rate is simply mispriced risk. We add an explicit 200 basis point country-risk premium to the discount rate, and we benchmark multiples against regional peers facing similar risks, not against US e-commerce and fintech names.

At \$1,696.56, the market is valuing MercadoLibre as though Latin American risk had been repealed — as though the Argentine peso, Brazilian real, and Mexican policy environment were Connecticut. They are not. When the appropriate discount rate is applied to this genuinely excellent business, fair value is \$1,119.00, 34% below the current price. The repricing we expect is the market rediscovering the country-risk premium, not the business deteriorating.

We rate the shares REDUCE rather than SELL because the franchise quality is real and an investor with a very long horizon and high risk tolerance may reasonably choose to hold through the repricing. But fresh capital at this price is paying US-multiple prices for EM-risk cash flows, and that arithmetic does not work.

Business Overview

MercadoLibre operates Latin America's largest e-commerce marketplace, with leading positions in Brazil, Argentina, and Mexico, supported by Mercado Envios, its proprietary logistics network. Mercado Pago began as the marketplace's payments arm and has grown into a full fintech ecosystem: digital wallets, QR payments, credit cards, consumer and merchant credit, and asset management products, serving tens of millions of users, many of whom had no prior access to formal financial services.

The strategic logic is powerful: commerce generates payments volume, payments data underwrites credit, and credit deepens both commerce and payments engagement. Few companies globally have executed this flywheel as effectively in as difficult an operating environment.

Forward Outlook

Operationally, we expect continued strong execution. E-commerce penetration in Latin America remains well below US and Chinese levels, leaving a long runway for share gains as logistics improve. Mercado Pago's credit portfolio is the highest-growth and highest-risk engine: underwriting millions of thin-file borrowers with proprietary data is a genuine competitive advantage, but credit is where emerging-market downturns bite first and hardest, and loss rates will spike in the next regional slowdown.

Argentina deserves special attention. Economic stabilization under reformist policy could surprise positively and would be a meaningful tailwind; a return to populist intervention, capital controls, or peso collapse would impair a significant earnings stream. Our base case assumes neither miracle nor disaster — merely the historical base rate of Argentine volatility, which is itself a cost.

Competition is intensifying: global platforms and well-funded regional challengers are contesting both commerce and fintech in Brazil and Mexico. MercadoLibre's scale and ecosystem integration are formidable defenses, but defense is not free — promotional intensity and logistics investment will weigh on incremental margins even as the franchise strengthens. The business will almost certainly be larger and more profitable in five years. Our target reflects what those cash flows are worth to a dollar-based investor who must be compensated for Latin American risk.

Valuation

We value MercadoLibre on a 10-year scenario DCF. The critical input is the discount rate: we add an explicit 200bp country-risk premium to our standard base rate, reflecting currency, inflation, and regulatory risk across the company's Latin American footprint. This single adjustment — not any change in our view of the business — drives the majority of the gap between our fair value and the current price.

Our bear case models a regional downturn combining Brazilian recession, Argentine policy reversal, and a spike in Mercado Pago credit losses, with sustained currency depreciation impairing dollar-reported earnings. The base case assumes continued operational excellence — commerce share gains, fintech scaling, gradual margin expansion — discounted at the country-risk-adjusted rate. The bull case assumes Argentine stabilization, benign credit performance, and successful defense of market share against global competitors.

Probability-weighting the scenarios 25% / 50% / 25% produces a fair value of \$1,119.00, our target. An investor who believes Latin American country risk should command no premium will find our target too low; we consider that belief the central mispricing in the shares today.

Key Risks

- Currency devaluation across the real, peso, and other regional currencies directly reduces dollar-reported earnings.
- Argentine political and policy risk: capital controls or interventionist policy would impair a major earnings stream.
- Mercado Pago credit losses spiking in a regional downturn; thin-file lending has limited through-cycle history.
- Intensifying competition in Brazilian and Mexican e-commerce and fintech from global and regional players.
- Regulatory risk: fintech licensing, interest-rate caps, or payments regulation in key markets.
- Country-risk repricing: if the market continues to ignore EM risk, the shares can stay expensive longer than fundamentals justify.

What Would Change Our Mind

- Structural, durable Argentine macroeconomic stabilization that justifies narrowing the country-risk premium.
- Mercado Pago credit demonstrating through-cycle loss rates comparable to developed-market underwriting.
- Sustained local-currency growth with stable or strengthening FX — evidence the risk premium is excessive.
- The shares repricing to our target without business deterioration, restoring a fair risk-adjusted expected return.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 10% plus a 200bp country-risk premium base discount rate. For this business we add an explicit 200bp country-risk premium to the discount rate, reflecting Latin American macroeconomic, currency, and regulatory risk, and we benchmark multiples against regional peers facing similar risks, never US peers alone.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.